

CFML Fairlight Global Fund

31 December 2023

Fund Profile

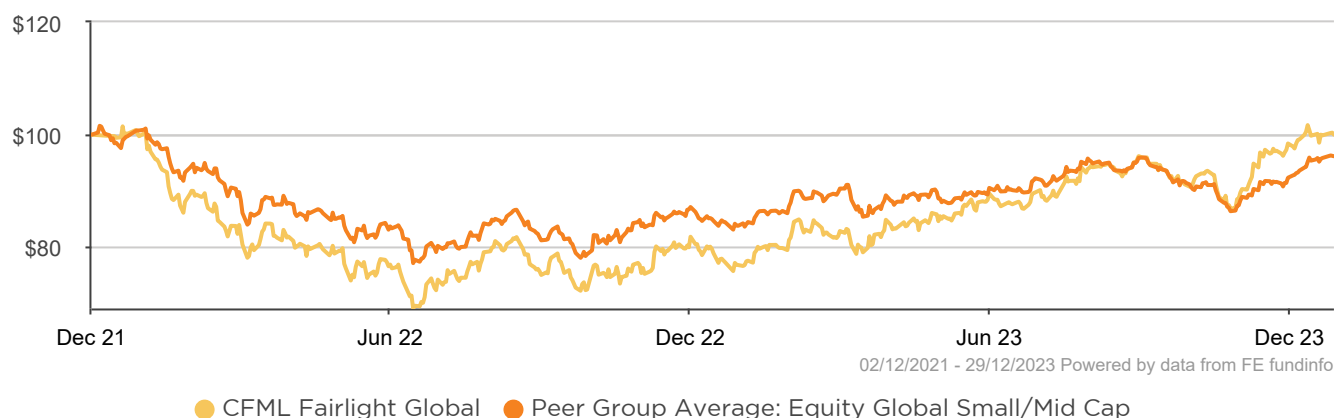
The Fund's objective is to provide a total return (after the deduction of fees, charges and tax) that exceeds the return from its benchmark, the MSCI World SMID Cap Index in AUD (Net) measured in AUD (unhedged), over a period of 7 or more years.

Asset Class	Equity	Inception Date	02/12/2021
Style	Active	Management Costs	1.25%
FE Peer Group*	Equity - Global Small/Mid Cap		

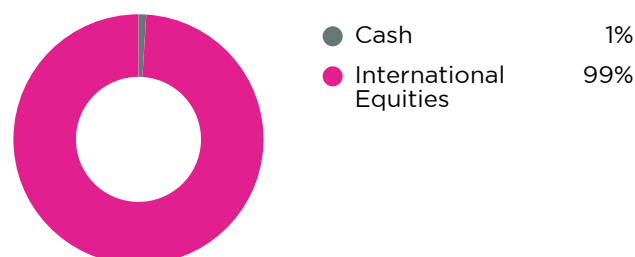
Performance^

	1 Month (%)	3 Months (%)	6 Months (%)	1 Year (%p.a.)	3 Years (%p.a.)	5 Years (%p.a.)	7 Years (%p.a.)	Since Inception (%p.a.)
CFML Fairlight Global	2.78	9.70	11.48	30.17	-	-	-	0.00
FE Peer Group Average	5.18	5.20	4.24	14.78	-	-	-	-1.87

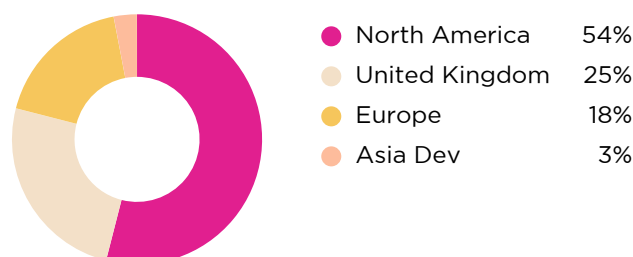
Growth of \$100 since inception^



Asset Class Breakdown



Geographical Allocation





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Top 10 Holdings

For the most recent top 10 holdings for each fund, please refer to clearview.com.au/Top10Holdings

Commentary

Fed about-face

December rounded out a strong 2023 for most financial markets with an additional rally into year end. This strength was largely attributed to the unexpected about-face of the US Federal Reserve, which is now focused on when, not whether, to cut interest rates.

On the 1st of December, US Federal Reserve (Fed) Chairman Jerome Powell had delivered a speech in which he appeared to brush aside any intention for interest rate cuts, suggesting that the Federal Open Markets Committee was not even discussing the subject. "It would be premature to conclude with confidence that we have achieved a sufficiently restrictive stance, or to speculate on when policy might ease."

Fast forward two weeks and all had apparently changed with the Fed now "very focused" on the risk of keeping interest rates too high for too long, noting that they would start cutting interest rates "well before" inflation reached their 2% target.

Investors appeared to take this as a clear sign not only that interest rates had reached their peak, but also that rate cuts would occur much sooner and faster. By the end of December, an additional 0.5% of rate cuts had been priced in for 2024 for both the US and Australia.

Market Performance

Equities

All the major developed market indices reached new highs in the second half of December. Australia led the charge with performance of +7.3% for the month while the US continued its upwards march with a rally of +4.5% in December. Emerging markets also rallied +3.9% during the month, ensuring positive returns for calendar year 2023, but still well below their post-Covid 2021 peak.

Within equity sectors it was no surprise that the interest-rate sensitive companies performed strongest: REITs bounced strongly both here in Australia and in the US during the month, boosting their quarterly returns (US +17.7% and Australia +14.4%). The only negative sector for Q4 was energy (US -7.8% and Aus -9.1%), resulting in negative returns for the full 2023 year.

Government Bonds

Bonds also enjoyed a strong December, rounding out a very positive quarter. Interestingly, despite a wide range of 3.30% to 4.99% throughout 2023, the benchmark US 10-year maturity government bond ended the year exactly where it started at 3.88%! Elsewhere, most developed market (ex-Japan) government bonds rallied over the course of 2023 with large gains in December and the fourth quarter.

Currency

Similar moves during December were experienced in currency markets as the safe-haven US dollar sold off -2.1%. Against this backdrop the more cyclically sensitive currencies gained strength with the Australian dollar rallying +3.1% during the month taking it back to 68.12c, nearly exactly the level it started the year.

Performance

Performance across our active models for 2023 was either first quartile or low second quartile, which is a very pleasing result. The stock selection impact of our underlying managers was significant, driving stronger absolute returns across all strategies.

A positive driver of performance, especially in the fourth quarter, were our asset allocation changes made during Q2 and Q3, removing our emerging market infrastructure exposure in favour of a combination of fixed income, REITs and infrastructure stocks.

Throughout 2023 we remained unhedged in our global equity exposures. Similar to the US 10-year yield, the fact that the AUD finished the year early where it started meant the overall impact on performance from this decision was minimal. However, it was a drag in Q4 as AUD rallied, giving back some of the positive performance from Q3.

Outlook

We are continuing to appraise the new expectation that interest rates may have peaked before moving lower in

2024. On the one hand, lower interest rates will create a tailwind for asset prices, some of which have seen material falls in prices making them more attractive in future. On the other hand lurks the indisputable reality that the combination of high consumer prices and high interest rates leads to less consumption, that is likely to persist over a longer period and will continue until interest rates actually start to fall.

If broad equity markets were not at record highs we would be more positive. However, with economic growth slowing and geopolitical risks continuing to rumble, lower interest rates might be enough to shrug off the potential risks.

We continue to look for investments with attractive entry points that are already pricing in a more pessimistic outlook than the market currently expects. In the meantime, we remain patient, relying on our chosen managers to pick quality companies and maintaining our overweight position in bonds, which offer a high level of income while retaining attractive defensive characteristics.

Sources: Performance numbers calculated using Bloomberg, peer group performance using FE fundinfo, <https://www.federalreserve.gov/newsevents/speeches.htm>.

How the fund works

The Fund will generally provide a diversified portfolio with exposure to a group of (30 to 40) carefully selected listed international investments. The Fund may have exposure to developed and emerging markets. The Fund will generally be unhedged but the currency hedge ratio can be varied over time.

When you invest your money in the Fund, your money will be pooled together with other investors' money. We use this pool to buy investments and manage them on behalf of all investors in the Fund. This means that by investing in the Fund you have access to certain investments that you may not otherwise be able to access on your own, as well as the knowledge of the skilled underlying investment managers through which the Fund may invest. ClearView Financial Management Limited (CFML) retains day-to-day control over the operation of the fund.

About the manager(s)

Fairlight Asset Management invests exclusively in global equity markets. The investment approach is grounded in fundamental research, long term in nature and has a strong focus on quality. The team believe a portfolio of the highest quality businesses, purchased with valuation discipline will outperform over the long term whilst protecting and preserving client capital.

The team believe in concentration, backing their best ideas drives the strongest long-term returns. The firm is focused on small and mid cap companies as they believe these businesses receive less investor attention, have greater growth prospects, and are more likely to be acquired by larger companies.

The investment strategy emphasises business quality. Historically, they have found that a portfolio of the best businesses, purchased with valuation discipline, should outperform over the long term, whilst protecting and preserving client capital.

FAIRLIGHT

CFML Fairlight Global Fund

* The FE Peer Group is the group of all funds within the relevant FE fundinfo category that each product is compared against.

^ Performance data is after fund manager fees, but before any other applicable fees or taxes and assumes the reinvestment of dividends. Past performance is not indicative of future performance.

Contact us

ClearView
GPO Box 4232
Sydney NSW 2001
132 977
client.wealth@clearview.com.au
[clearview.com.au](https://www.clearview.com.au)

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